things are done in Indian financial economic policy, going beyond these four tasks, which are deficient in rationale. These include capital controls, government-owned financial institutions to address perceived failures of the financial system (e.g., National Bank for Agriculture and Rural Development [NABARD] or Mudra Bank), government-owned banks, directed lending, the system of ‘financial repression’ through which financial firms are forced to lend to the government, etc.

The process of financial reform

At the outset, equity market trading took place by open outcry at the BSE, which was controlled by its members. Settlement took place through physical share certificates, and there was a chronic problem with counterfeit share certificates. The BSE closed down many times, out of its inability to manage payments efficiently.

The first phase of financial reform in India was triggered by the requirement for foreign capital inflows after 1991 and the Harshad Mehta scandal in 1992. This led to a remarkable phase of change, led by a remarkable community of public-minded people. SEBI was established as a new regulator. Modern exchange infrastructure was established in the form of the National Stock Exchange (NSE), the National Securities Clearing Corporation (NSCC) and the National Stock Depository Limited (NSDL). Electronic trading and derivatives trading were introduced. These were transformative reforms. One of the pioneers of this work, Ravi Narain, said that when satellite trading through NSE reached a remote town in India, it was transformative on the scale of the first railway line reaching the town. The improvements of the equity market of that period were an important part of the enabling environment for the high growth of the 1991–2011 period. [9]

This was followed by a series of government committee reports, which mapped out the journey of financial economic policy. These included a report on capital controls led by U.K. Sinha, one on consumer protection